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## China Economics | Asia Pacific

# Sequentially Slower Oil Push, Limited Reflation Elsewhere

## Key Takeaways

- PPI YoY surged to a ~4-year high of 3.9% (Consensus 3.7%) on a low base, yet MoM slipped 1.2pp to 0.5% on reduced oil price impulse.
- Stabilized global oil prices also led to softened retail fuel prices and transportation cost, bringing seasonally adjusted CPI MoM down 50bps to 0.1%
- Limited reflation beyond oil: Some modest uptick in coal and non-ferrous metal, muted price changes in downstream PPI, softened core CPI excluding gold.
- While PPI may rise >4%Y in Jun-Jul off a low base, core CPI will likely enter a shallow moderating path. Tail risk remains a non-linear oil price spike.

**Narrow industrial reflation beyond oil:** May PPI MoM softened on a sequentially slower oil uptick. Excluding oil & petrochemical, PPI MoM edged up 10bps to 0.3%, led by coal (seasonally stronger summer electricity demand) and non-ferrous metals (AI-related capex demand). Downstream factory prices held flat at 0.2% MoM despite [broadening export strength](#), constrained by prevailing excess capacity.

**Limited transmission of AI demand and oil to core CPI:** On a seasonally adjusted basis, core CPI ex-gold MoM softened 20bps to 0% as the impulse from AI-driven replacement demand for personal electronics faded. Price upside would be capped by continued consumption weakness amid sluggish job market and ongoing property adjustment, with limited support from capital-intensive export strength.

**Outlook:** Despite somewhat stabilized global oil prices, PPI YoY will likely rise >4% in Jun-Jul, given a low base. That said, core CPI will likely enter a shallow moderating path ahead, given continued consumption weakness. The key risk remains a non-linear oil price spike if prolonged geopolitical disruptions cause a more severe supply shortage – our [oil strategist](#) has lifted 4Q26 and 1H27 oil price forecasts by US\$5/bbl, in view of a slower resumption of Strait production.

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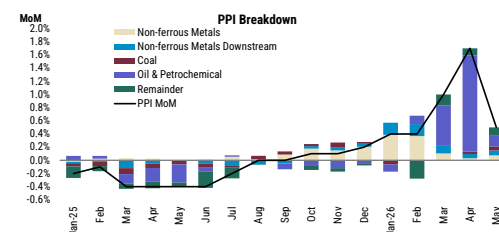
## Asia Summer School 2026

## Exhibit 1 : Summary Table

|                                     | May-26 | Apr-26 | Mar-26 | 1Q26 | 4Q25 |
|-------------------------------------|--------|--------|--------|------|------|
| <b>CPI, YoY %</b>                   | 1.2    | 1.2    | 1.0    | 0.8  | 0.6  |
| Food                                | -1.7   | -1.6   | 0.3    | 0.4  | -0.5 |
| Non-food                            | 1.9    | 1.8    | 1.2    | 1.0  | 0.8  |
| Core (excl. Food and Energy)        | 1.1    | 1.2    | 1.1    | 1.2  | 1.2  |
| <b>CPI, MoM % NSA</b>               | -0.1   | 0.3    | -0.7   | 0.2  | 0.1  |
| Food                                | -0.4   | -1.6   | -2.7   | -0.3 | 0.4  |
| Non-food                            | -0.1   | 0.7    | -0.2   | 0.3  | 0.0  |
| Core (excl. Food and Energy)        | -0.1   | 0.2    | -0.7   | 0.1  | 0.1  |
| <b>PPI, YoY % (broad breakdown)</b> | 3.9    | 2.8    | 0.5    | -0.8 | -2.1 |
| <b>Producer Goods</b>               | 5.2    | 3.8    | 1.0    | -0.3 | -2.3 |
| Mining and Quarrying                | 15.8   | 10.6   | 2.0    | -3.8 | -6.2 |
| Raw Material                        | 9.2    | 7.1    | 1.1    | -0.9 | -2.7 |
| Capital Goods                       | 2.3    | 1.5    | 0.9    | 0.3  | -1.8 |
| <b>Consumer Goods</b>               | -0.8   | -1.0   | -1.3   | -1.5 | -1.4 |
| Durables                            | 0.0    | -0.3   | -1.0   | -1.5 | -3.4 |
| <b>PPI, MoM % (select sectors)</b>  | 0.5    | 1.7    | 1.0    | 0.6  | 0.1  |
| <b>Non-commodity, MoM %</b>         | 0.5    | 1.2    | 0.5    | 0.4  | 0.0  |
| General Equipment                   | 0.0    | 0.0    | -0.2   | -0.1 | -0.1 |
| Automobile                          | -0.2   | 0.1    | -0.5   | -0.2 | -0.1 |
| Electrical Machinery & Equipment    | 0.5    | 0.3    | 1.1    | 1.2  | 0.2  |
| Consumer Electronics                | 0.6    | 0.6    | 0.7    | 0.6  | 0.0  |
| Textile                             | 0.7    | 0.7    | 0.5    | 0.1  | 0.0  |
| Chemical Fibers                     | 1.5    | 5.6    | 3.4    | 1.5  | -0.5 |
| Pharmaceutical                      | -0.4   | -0.4   | -0.1   | -0.5 | -0.3 |
| <b>Commodity, MoM %</b>             | 0.5    | 2.9    | 2.1    | 1.1  | 0.4  |
| Oil                                 | 0.0    | 17.5   | 10.8   | 3.7  | -1.4 |
| Coal                                | 3.2    | 1.9    | 0.1    | -1.2 | 2.3  |
| Ferrous Metal Smelting              | 1.2    | 0.6    | 0.3    | 0.2  | -0.4 |
| Non Ferrous Metal Smelting          | 1.1    | 0.2    | 1.0    | 3.6  | 2.4  |

Source: CEIC, Morgan Stanley Research

## Exhibit 2 : Sequentially oil push slowed, limited reflation elsewhere



Source: NBS, Morgan Stanley Research

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